

# PMG Video Generation — Monetization Strategy & Implementation Brief

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**For:** Replit (implementation agent)  
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## Context

This brief packages the full strategy discussion on adding in-house video generation to PromptMeGood. The core constraint throughout is: **video cannot erode the existing \$15/user average profit margin, and the owner has no upfront capital to absorb costs.** All decisions below are final and approved by the product owner.

## Confirmed Pricing (from codebase — pricing.html data-pmg-price attributes)

| Tier               | Price                    |
|--------------------|--------------------------|
| Free               | \$0                      |
| Founding Member    | \$79 one-time (lifetime) |
| Pro Monthly        | <b>\$14/month</b>        |
| Pro Yearly         | \$129/year               |
| Pro Studio Monthly | <b>\$29/month</b>        |
| Pro Studio Yearly  | \$290/year               |

## The Core Principle: Video Is a Separate P&L

Video costs must **never** be bundled into the base subscription at launch. Every generation must be pre-funded by the user before it fires. This is the only model that works with zero

upfront capital.

## Approved Architecture: Credit-Pack Only at Launch

### What This Means

- **Free tier:** No in-house video generation. Free users see the Video panel prompt builder (unchanged — they can still build and copy prompts to Sora/Runway). The "Generate Video" button shows a paywall card.
- **Pro and Pro Studio:** No included video bucket at launch. Video is credit-pack only for all paid tiers as well.
- **Founding Member:** Same — credit-pack only at launch.

This is a deliberate decision. Included buckets come later, after revenue is established.

### Why Not Include a Free Bucket in Pro?

The existing codebase shows `data-pmg-cap="pro:vid">5</span>` (5 videos/day). At \$0.25/clip (Wan 2.5), that is \$1.25/day per heavy user, or up to \$37.50/month — more than the \$14 subscription price. That math only works with a monthly budget cap and established cash flow. Neither exists at launch.

## Provider Decision

Launch provider: Wan 2.5 via Fal.ai

| Model                        | Cost per second | 5-second clip | Reason chosen                                                    |
|------------------------------|-----------------|---------------|------------------------------------------------------------------|
| Wan 2.5 (Fal.ai)             | \$0.05/sec      | \$0.25        | Cheapest available; good quality for marketing/lifestyle content |
| Kling 2.5 Turbo Pro (Fal.ai) | \$0.07/sec      | \$0.35        | Better quality, add later as premium option                      |
| Veo 3 (Fal.ai)               | \$0.40/sec      | \$2.00        | Premium — post-launch only                                       |

**Do not add Kling, Veo 3, Sora, or Runway at launch.** One provider, one cost basis, one risk surface. Add premium providers after you have usage data and cash flow.

## Quality Reality Check (from independent 2026 benchmarks)

Wan 2.5 scores 6.3/10 overall. For PMG's use cases (marketing clips, product showcases, social content, prompt previews), it is production-ready. The failure modes (complex fluid physics, extreme motion) are not what PMG users are generating. Honest framing for users: *"Short-form AI video clips — great for social, marketing, and concept previews."* Do not oversell it as Sora-quality.

## Credit Pack Model

### Pack Structure (launch)

| Pack         | Clips included | User price | Your cost (Wan 2.5) | Net after Stripe (~3%) |
|--------------|----------------|------------|---------------------|------------------------|
| Starter Pack | 10 clips       | \$5.00     | \$2.50              | ~\$2.35 net            |

- Stripe one-time payment (not a subscription).
- Credits are stored per-user in Supabase ( video\_credits column or equivalent).
- Credits do not expire (simplifies support, increases perceived value).
- When credits hit 0, user sees: *"You've used all your video credits — grab another 10-clip pack for \$5."*

### Future Packs (post-launch, add when ready)

| Pack       | Clips    | Price | Net         |
|------------|----------|-------|-------------|
| Value Pack | 25 clips | \$10  | ~\$3.75 net |
| Pro Pack   | 60 clips | \$20  | ~\$5.50 net |

## Hard Caps (Non-Negotiable)

These are circuit breakers, not bills. They protect the owner from unexpected costs.

## Per-User Daily Cap

- **\$0.50/user/day** maximum video spend (= ~2 clips at Wan 2.5 pricing).
- If a single user hits this, video shows: *"Daily video limit reached — come back tomorrow or grab a credit pack."*
- This prevents one power user from draining a credit pack in an hour.

## Global Daily Cap — The Dial Model

This is not a fixed \$25/day bill. It is a dial the owner controls via environment variable. **Start it at \$0.**

| Stage                                          | Global daily cap                     | Trigger to raise                 |
|------------------------------------------------|--------------------------------------|----------------------------------|
| Launch day                                     | <b>\$0</b> (video endpoint disabled) | —                                |
| After 5 pack sales (~\$25 revenue collected)   | \$5/day                              | ~20 clips/day max                |
| After 20 pack sales (~\$100 revenue collected) | \$15/day                             | ~60 clips/day max                |
| Steady state                                   | \$25–\$50/day                        | Owner decides based on cash flow |

**Implementation:** Store as `VIDEO_GLOBAL_DAILY_CAP_USD` in environment variables. The video route checks a daily spend counter in Supabase (or Redis) before firing. If `daily_spend >= cap`, return a 503 with a user-friendly message: *"Video generation is at capacity — check back in a few hours."*

## Reserve-First, Charge-on-Success

Same pattern as existing text generation ( `refundUserDay` on failure). Deduct one credit from the user's balance before firing the API call. If the generation fails, refund the credit immediately. Never double-bill.

## Implementation Checklist for Replit

### Backend

- ☐ Add `video_credits` balance to user record in Supabase (integer, default 0)

- ☐ Add `video_daily_spend` counter (resets at midnight UTC) — per-user and global
- ☐ Add `VIDEO_GLOBAL_DAILY_CAP_USD` environment variable (start at `0` )
- ☐ Add `VIDEO_PER_USER_DAILY_CAP_USD` environment variable (set to `0.50` )
- ☐ Create `/api/video/generate` route:
  1. Check user has credits  $> 0$
  2. Check user daily spend  $<$  per-user cap
  3. Check global daily spend  $<$  global cap
  4. Deduct 1 credit (reserve)
  5. Call Wan 2.5 via Fal.ai
  6. On success: increment spend counters, return video URL
  7. On failure: refund 1 credit, return error
- ☐ Create Stripe one-time payment flow for \$5 credit pack (not a subscription)
- ☐ On Stripe `checkout.session.completed` webhook: add 10 credits to user balance

## Frontend

- ☐ Video panel "Generate Video" button: check `video_credits > 0` before firing
- ☐ If credits = 0 and user is free: show paywall card ("Video available on paid plans — buy a credit pack")
- ☐ If credits = 0 and user is paid: show credit pack purchase CTA ("Out of video credits — get 10 more for \$5")
- ☐ Show current credit balance somewhere visible in the Video panel (e.g., "3 video credits remaining")
- ☐ Update `data-pmg-cap` UI copy: the existing "5 videos/day" cap display should be hidden or replaced with credit balance display for now

## Copy Changes Required

- `pricing.html` : Update video row to reflect credit-pack model instead of per-day caps
  - `app.html` (Terms section): Update video generation description to reflect credit-pack model
  - `manual.html` : Update Video panel section to describe credit-pack model
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## What the Existing Codebase Already Has

These do not need to be rebuilt — just extended:

- **pmg-cap-intercept.js** : Global fetch wrapper that catches 429 responses and shows upgrade modal. Extend this to also handle the video credit-exhausted state (return a specific error code from the video route, e.g., **402 Payment Required** ).
- **Stripe integration**: Already wired for Founding Member one-time purchase. The credit pack is the same pattern — a one-time Stripe Checkout session, not a subscription.
- **Supabase auth + DB**: Already in place. Add **video\_credits** column to the existing user/profile table.

## Margin Protection Summary

| Scenario                       | Cost to owner              | Revenue               | Net            |
|--------------------------------|----------------------------|-----------------------|----------------|
| Free user views Video panel    | \$0                        | \$0                   | \$0            |
| Paid user buys \$5 credit pack | \$2.50 (10 clips × \$0.25) | \$4.65 (after Stripe) | <b>+\$2.15</b> |
| No one buys a credit pack      | \$0                        | \$0                   | \$0            |
| Global cap hit                 | Capped at cap value        | Already collected     | Protected      |

**The \$15/user average margin is fully protected.** Video adds to it — it cannot subtract from it under this model.

## What Comes Later (Post-Launch Backlog — Do Not Build Now)

- Included video bucket in Pro/Studio monthly plans (after 20+ credit pack customers and stable cash flow)
- Kling 2.5 as a "premium quality" option at higher credit cost
- Video credit balance in the user dashboard / account page
- Bulk pack discounts for Studio tier
- Real-time spend dashboard for the owner (Supabase query or simple admin page)

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## Questions Answered for Replit

**Q: What are the current Pro Monthly and Pro Studio Monthly prices?**

A: Pro Monthly = **\$14/mo**, Pro Studio Monthly = **\$29/mo**. Confirmed from `pricing.html` .

**Q: Should video be a Pro feature or Pro Studio only at launch?**

A: **Neither exclusively.** Video is credit-pack only for all tiers at launch, including free users (who can purchase packs). No included bucket in any tier at launch.

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*End of brief. Questions → DeShawn or Manus strategy agent.*